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Nonprofit Entry, Exit, and Implications for Sector Growth

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ABSTRACT

Patterns of nonprofit sector growth, organizational birth, and organizational dissolution continue to be at the forefront of the nonprofit management literature. We contribute to this line of research by examining entry, exit, and growth simultaneously, employing the longest panel of US nonprofits of which we are aware. We find estimates of entry ranging between four and 5%, while exit ranges between 1% and 2% per year. The combined rates result in positive sector growth every year, despite variations in regulatory and economic conditions. Our results indicate that lack of exit—not excess entry—is an important, and often overlooked, factor for continued growth of the nonprofit sector. Furthermore, we document the importance of including 990-N filers and addressing missed filings, demonstrating the bias introduced in metrics of sector growth and exit if we do not account for these issues. We conclude by providing guidance on best practices for scholars and practitioners when measuring nonprofit entry, exit, density, and growth metrics, along with suggested reframing of the mindset around sector growth to consider a lack of exit driving growth rather than exclusively focusing on the creation of new nonprofits.

JEL Classification: L30

1 | Introduction

Are there too many nonprofits? The notion that the sector may have more organizations than can be feasibly supported entered the scholarly record as early as a discussion by Salamon (1999). From there, the question has been explored by scholars, practitioners, and journalists alike for nearly a quarter century (Ni 2004; Harrison and Thornton 2014; Bertagnoli 2017; Paarlberg et al. 2018; Trull 2018; Rosenthal 2019). Since 2000, the sector has grown by at least 300,000 organizations in the United States (NCCS 2013b, 2020).

Measures of growth have been an important consideration in the literature as it is often considered one broad level metric of health of the nonprofit sector (McKeever, Dietz, and Fyffe 2016; Abramson 2023). Growth in the sector has focused on some measure of the number of nonprofits, often referred to as density, number of new nonprofits (entry), or number of nonprofits leaving the sector (exit or dissolution[1]). Studies have examined the antecedents of nonprofit growth, highlighting factors associated with growth and density along with how growth and density impact performance, largely focused on financial health (Pennerstorfer and Rutherford 2019). This paper provides a seldom considered perspective on this literature by more concretely linking entry and exit with overall growth and density in the sector. Specifically, we estimate and examine three metrics—nonprofit entry rates, nonprofit exit rates, and nonprofit sector growth to highlight the importance of considering whether growth is coming from higher entry or lower exit.

Our study creates the longest panel of which we are aware (1990–2014) of nonprofit entry and exit across all major nonprofit sectors and demonstrates consistently low exit rates across time and sector. This allows us to provide evidence that low exit rates are a primary contributor to growth in the sector, a key contribution for practitioners and researchers. For practitioners, our

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research demonstrates that some of our preconceived notions about the origins of nonprofit sector growth and policies related to growth should be revisited. Much of scholarly literature and popular press either directly or indirectly links "too many nonprofits" with "too much" entry and then often implies that policy should focus on constructing barriers to entry (Ni 2004; Bertagnoli 2017; Lu, Shon, and Zhang 2020). We suggest that more emphasis in policy and managerial circles should be placed on considering whether there are potential barriers to exit that are preventing the sector from working optimally, specifically regarding the redistribution requirements upon dissolution. We highlight this point through the lens of the industrial organization literature, connecting the themes to the organizational ecology literature, where both discuss a process that centers around survival of the fittest. We argue that the barriers to exit could also be mitigated through increased consolidation and collaboration between practitioners, echoing a growing line of thought from practitioner circles (LaPiana and MacIntosh 2020; George and Stinebricker-Kauffman 2021).

For researchers, we provide best practices for future scholars calculating metrics related to the size of the sector, specifically focused on entry, exit, density and growth metrics. In doing so, we provide a roadmap addressing the challenges of using administrative data to estimate these series documented by Hernandez Ortiz and Hager (2023). We use updated data to create a panel of entry rates, exit rates, and nonprofit sector growth, using a methodology first introduced by Harrison and Laincz (2008) [henceforth referred to as HL].

HL document low rates of exit in their original research; however, due to the changes in the sector and the economic environment, it is not clear if these rates would persist. Our estimated rates provide a longer view of entry, exit, and growth dynamics through the 2000s and into the 2010s, through two economic recessions, including the Great Recession, a major law change regarding nonprofit operations in the 2006 Pension Protection Act, along with the IRS changing their filing guidelines from 2008 to 2010.

Our estimates indicate that rates of nonprofit entry and exit remain comparable to the rates identified in HL. Furthermore, we estimate rates of nonprofit entry and exit by subsector, providing the first panel data on subsector entry and exit. We find that despite some year-over-year and sector-level variations in magnitude, the trends of nonprofit entry, exit, and growth are similar across nonprofit subsectors, regardless of industry type.

We also compare our estimates to HL in order to more clearly identify and document measurement error in exit rates introduced by the lack of a clearly defined exit event on the publicly available 990 data.[2] The rule that researchers most often adopt is to count a nonprofit as an exit if it has failed to file a 990 for three consecutive years. However, due to lax enforcement, latency in data updates, and backfiling of 990s, it is not uncommon to see a nonprofit "return" after previously being considered as exited under this rule. These issues have led to a right-censoring bias in measuring exit rates. Since our data spans the years of HL and covers an additional 15 years after, we can recalculate the exit rates to identify the degree of the right-censoring bias. We identify substantial right-censoring bias in the original HL rates, documenting the necessity of accounting for right-censoring bias in exit rate estimation.

2 | Literature and Theory on Nonprofit Lifecycle Dynamics

We group the scholarly literature using size or growth of the sector into two broad categories: stock/static and flow/dynamic metrics[3]. We begin with the latter and broadly categorize literature on lifecycle dynamics into three main categories: studies of entry, exit, and growth in the sector. When examining nonprofit entry and exit, as shown in an overview of the literature in Helmig, Ingerfurth, and Pinz (2014), papers generally focus on either nonprofit creation or nonprofit dissolution. The reasons for creating a nonprofit organization are varied; however, nonprofit entrepreneurs share several characteristics with their for-profit counterparts (Lurtz and Kreutzer 2017), and are more likely to open a nonprofit organization with positive external environment conditions (Twombly 2003). Conversely, the reasons for nonprofit dissolution generally fall into categories such as: mission completion, program failure, lack of external commitment, financial crisis, or some combination thereof (Duckles, Hager, and Galaskiewicz 2005).[4] Several factors have been considered to contribute to nonprofit exit including lack of revenue diversification and financial mismanagement (Bielefeld 1994; Lu, Shon, and Zhang 2020; Mayer 2023), nonprofit size and age (Bielefeld 1994; Twombly 2003; Hager, Galaskiewicz, and Larson 2004), and external environmental factors such as changing market conditions (Hager et al. 1996) or the demographic composition of the area surrounding the organization (Garrow 2015; Shon and Lu 2024). Nonprofits also may continue to file, existing as "zombie" nonprofits rather than exiting the sector (Searing 2020).

Across the literature, few studies examined entry and exit in tandem and its relation to nonprofit growth. In our search of the literature, only HL, Barbetta et al. (2018), Hernandez Ortiz and Hager (2023), and Mayer (2024) study entry, exit, and sector growth simultaneously. To our knowledge, HL, is the only study to simultaneously document nonprofit entry and exit patterns in the United States over multiple nonprofit sectors. This lack of studies in the US context is likely in part due to the difficulties in using US administrative data to estimate sector size along with organizational creation and dissolution (Hernandez Ortiz and Hager 2023). Barbetta et al. (2018) explore nonprofit entry and exit patterns as well in an Italian context using census data. Despite the differences between each country's sector and the period examined, both studies find positive overall growth in the nonprofit sector; however, Barbetta et al. (2018) find substantially higher rates of nonprofit exit.

Our paper most closely resembles HL; however, there are several key differences between the papers. Our research is written to examine these trends for a nonprofit scholar and practitioner audience. We are focused on a better understanding of the growth of the nonprofit sector, contextualizing this growth in the context of entry and exit rates simultaneously. In doing so, we provide a road map to carefully estimate these trends, providing a methodological roadmap to address the concerns in estimating these series detailed in Hernandez Ortiz and Hager (2023).

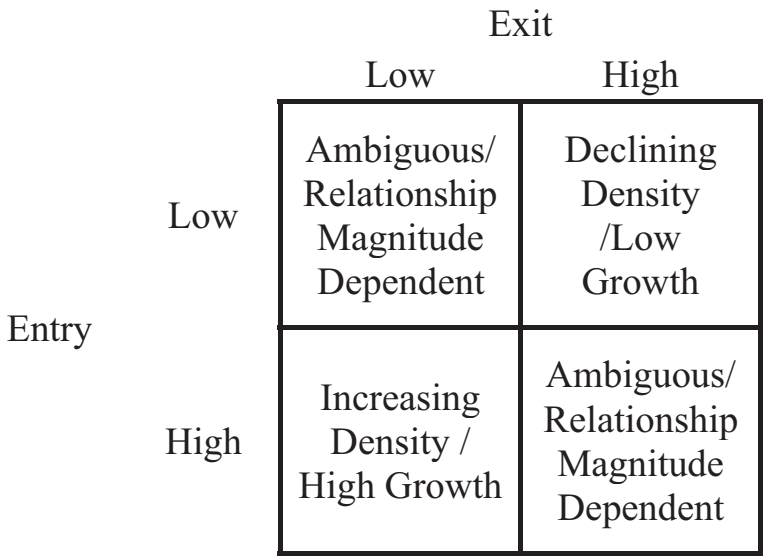


FIGURE 1 | Relationship between entry, exit, and sector growth.

In parallel, studies have focused on stock or static measures related to the size of the sector. Generally measured as number of nonprofits or number of nonprofits divided by the population (the literature often uses density interchangeably), Harrison and Thornton (2022) discuss that N is often both a dependent and independent variable in these studies. Several of these papers, implicitly or explicitly, link changes in the size of the sector and nonprofit sector growth (See Pennerstorfer and Rutherford's (2019) discussion of growth indicators for full list of papers linking nonprofit sector growth to number of organizations). While we agree that this linkage is an important consideration, we highlight in Figure 1 a less often discussed linkage that growth in the sector can occur two ways: high degree of entry/formation or low degree of exit/dissolution. While sector growth can occur from either low exit or high entry, relatively high rates of growth likely have both factors occurring simultaneously. Focusing primarily on only one of these metrics only tells part of the story regarding sector growth, missing a key component to understanding the underlying mechanisms.

Focused here on the scholarly literature,[5] Table 1 highlights the prominence of growth and density work from Volumes 31–33 of Nonprofit Management and Leadership (NML) along with Volumes 50–52 of Nonprofit and Voluntary Sector Quarterly (NVSQ).[6] Overall, 9% of those articles are related to nonprofit entry, exit, sector size, or sector growth. However, most of this work focuses on a smaller subset of these interlinked metrics, with 3% of articles related to nonprofit sector size or density, 3% of articles related to nonprofit entry, 2.7% of articles related to nonprofit exit, and only 0.7% of articles related to sector growth. The 0.7% of articles focused on sector growth also have an additional focus either on growth and sector size, or growth and nonprofit entry. No papers examine entry, exit, and sector growth simultaneously.

Measures of size or growth of the sector are most often rooted in theories highlighting the complex relationship between government and nonprofits. Much of this theory has been excellently and extensively discussed; therefore, we only provide a brief overview of the literature here (see Lecy and Van Slyke (2013), Kim (2015), and Bae and Sohn (2018) for excellent discussions of these theories as they relate to density and growth). We also highlight that much of the existing linkage between the literature and the theory focuses on the formation/creation phase of a nonprofit. To avoid duplication, our focus here is on how these existing theories relate to exit decisions. As Kim (2015) highlights, government failure theory emphasizes a supplementary role whereby nonprofits "fill in the gaps" of provision of goods and services desired by a heterogenous population but not provided by government entities. Interdependence theory highlights a complementary role and recognizes nonprofit's provision of public goods and services, while simultaneously acknowledging that the nonprofit sector needs support from governments, including grants and contracts, to fulfill its mission (Gazley 2010; Lecy and Van Slyke 2013; Bae and Sohn 2018).

TABLE 1 | Summary of recent nonprofit sector research related to entry, exit, or growth.

Volumes 50–52 in NVSQ and Volumes 31–33 in NML	
9%	Articles related to entry, exit, sector size, sector density, or sector growth
3%	Articles related to sector size or density
3%	Articles related to charity entry
2.70%	Articles related to charity exit
0.70%	Articles related to sector growth

Social capital and social origin theory are often prominent when motivating initial growth in a sector. They are often invoked to discuss how nonprofits build legitimacy in a community, how nonprofits arise out of community needs and norms (social origin theory), and how community participation creates a symbiotic relationship with the nonprofit, providing an essential resource to nonprofit operations and survival (social capital theory). Scholars employ social origins theory when explaining how a nation's economic environment, societal norms and values,

along with governance structures impact the formation of the nonprofit sector within a nation (Salamon and Anheier 1998; Salamon 1999; Maier, Meyer, and Terzieva 2022). From there, scholars often use social capital theory to discuss how competition or crowding in a sector can impact the performance of individual nonprofits. As legitimacy is established, resources increase to a particular cause or sector, but as the number of nonprofits in the sector also increases and the sector hits what is commonly referred to as the carrying capacity (Paarlberg et al. 2018), an increase in the number of nonprofits can decrease individual firm performance.

We contribute to this literature by introducing a less well-known set of theories to the nonprofit literature. Industrial organization (IO) provides guidance on how innovations and new processes are often introduced into a sector through firm entry (Sutton 1991). Jovanovic (1982) and Syverson (2004) among others theorize how organizations that fail to meet certain productivity or efficiency norms in an industry are eliminated, resulting in greater productivity overall in the sector. As Syverson (2011) notes, this line of literature emphasizes "the substantial role of reallocations of economic activity toward higher productivity producers (both among existing plants and through entry and exit) in explaining aggregate productivity growth" (p. 327). Syverson (2011) provides an equilibrium model of productivity in a sector (p. 335). To summarize, firms will enter if *ex-ante* they believe they can produce at a level high enough to cover the cost of entry, the cost of operating, and the economic cost of not pursuing their next highest valued alternative. We refer to this threshold of total cost as the "opportunity cost." Once firms enter an industry, they realize their productivity relative toward their internal opportunity cost. If their actual productivity is lower than their expected opportunity cost, then they will likely exit the industry to pursue more productive endeavors. In addition, Syverson notes the inherent changing external landscape: a sector might be hit with a shock (positive or negative) that creates "winners" and "losers" and thus some firms may "therefore require reallocation of inputs from their initial locations. Favorably shocked producers will grow, unfavorably shocked producers will shrink or exit, and new producers may enter the industry at a productivity level above exiters" (p. 335).

While this process is written from the perspective of for-profit organizations, a similar process can be applied to nonprofits as well. Nonprofit entrants must pay monetary, time, and opportunity cost to enter the sector. As such, nonprofit entrants must believe that they will produce at a high enough level to cover their opportunity cost threshold. If those costs are not covered, it is in the nonprofit's interest to exit the sector.

However, nonprofit organizations differ from for-profit organizations in two key ways, identified in HL. First, nonprofit organizations are not solely profit motivated, lowering their opportunity cost. Second, nonprofit organizations face two non-redistribution constraints in lacking the ability to pay financial investors from net earnings and being legally required to redistribute their assets back into the nonprofit sector upon dissolution. The combined effect is a further lowered opportunity cost, and an increased cost of dissolution. Combined, the theory would predict a low rate of nonprofit exit.[7]

While organizational ecology is often discussed separately, there is much commonality in the broad mechanisms of exit where "survival of the fittest" is posited as important to the overall health of the nonprofit sector (Hager, Galaskiewicz, and Larson 2004; Kapucu, Healy, and Arslan 2011). The variation in opportunity cost between organizations can come from internal and external factors in alignment with studies such as Lu, Shon, and Zhang (2020) examining factors associated with nonprofit exits.

3 | Data

The data used in this paper come from two sources. To calculate nonprofit entry, exit, and growth, we use core data files from the National Center for Charitable Statistics (NCCS) from years 1989 to 2018. The NCCS core data includes tax filings from all 501(c)(3) organizations filing a Form 990 or Form 990-EZ in each year (NCCS 2013a). We link each charity filing over time to create a panel with the unique organizational identifier in the employer identification number [EIN] (IRS 2022). The compiled core provides us with 6,658,657 NP-year filing observations coming from 633,192 distinct nonprofits.

As demonstrated in Table 2, organizations with less than $25,000 in gross receipts did not have to file a 990 prior to 2007. Following the Pension Protection Act of 2006, these organizations were required to file a 990-N with the IRS annually (Joint Committee on Taxation 2006). The threshold for 990-N filing doubles in 2010 to $50,000 (Nevius 2011).[8]

As 990-N filers are not included in the NCCS core data, the introduction of the Form 990-N could result in us incorrectly classifying an organization exiting the sector when it is filing

TABLE 2 | Form 990 gross receipt thresholds.

Year	Form 990	Form 990-EZ	Form 990-N
Through 2006	$100,000+	$25,000–$100,000	No filing required
2007	$100,000+	$25,000–$100,000	Up to $25,000
2008	$1,000,000+	$25,000–$1,000,000	Up to $25,000
2009	$500,000+	$25,000–$500,000	Up to $25,000
2010 Onward	$200,000+	$50,000–$200,000	Up to $50,000

a 990-N as opposed to a 990-EZ or 990. Therefore, we merge 990-N data from 2006 to 2016 from the Open Data for Nonprofit Research project aggregated by Jesse Lecy, Nathan Grasse, and Francisco Santamarina (Lecy et al. 2023). This data provides confirmation of existence by listing the latest 990-N filing on record. To avoid artificially increasing the entry count after 2007, we only merge in 990-N filers that we previously observe in the NCCS core data. Merging the 990-N data for previously observed filers adds another 151,152 NP-year observations, bringing our total to 6,809,809 NP-year observations of 633,192 nonprofits.[9]

We use these data to generate a 25-year long time series spanning 1990–2014 to examine the number of charity organizations, the count of nonprofits entering and exiting in a given year, and the subsequent charity entry and rates.[10] We observe each nonprofit's affiliated sector and based on that information, assign each nonprofit to a sector consistently over the entire time period.[11] This information allows us to examine the entry and exit rates across the sectors. We examine 22 of the 26 NTEE codes using the same metrics as previously discussed, giving us a 550 sector-year panel. We drop nonprofits from NTEE Codes T (Philanthropy, Volunteerism, and Grantmaking), X (Religious-related), Y (Mutual Benefit) and Z (Unknown) given the variety of well-known issues with accuracy of these sectors classification.[12]

4 | Charity Entry and Exit Rates

4.1 | Entry, Exit and Growth Metrics

Our methodology largely follows HL who adapt the conventional entry and exit rate measures from the industrial organization literature for for-profits firms (Dunne, Roberts, and Samuelson 1988). For firms in time t and sector k, we calculate entry rates, exit rates, and growth as follows:

$$\text{Entry Rate}_{k,t} = \frac{\#\,\text{Entrants}_{k,t}}{\#\,\text{Incumbents}_{k,t-1}}$$

$$\text{Exit Rate}_{k,t} = \frac{\#\,\text{Exits}_{k,t}}{\#\,\text{Incumbents}_{k,t-1}}$$

$$\text{Growth}_{k,t} = \frac{\#\,\text{Nonprofits}_{k,t} - \#\,\text{Nonprofits}_{k,t-1}}{\#\,\text{Nonprofits}_{k,t-1}}$$

The number of incumbents from $t-1$ is used to avoid contemporaneously linking entry, exit, and growth in time t with the total number of firms in the sector.

4.1.1 | Defining Entry

Entry is defined as the minimum of the year of the firm's first Form 990 filing *or* the reported year of tax-exempt status, also known as the RULEDATE. In the case of multiple ruledates provided in different tax filings, we use the ruledate observed most frequently.[13]

4.1.2 | Defining Exit and Right-Censoring Bias

For exiting firms, we do not observe the analog of RULEDATE. Nonprofits do not specifically designate a year that they are leaving the industry on the tax form nor is there any other distinct information that clearly identifies an exit year.[14] We only classify a nonprofit as exiting when they have ceased filing for 3 years, *and* do not file again throughout our dataset. We therefore take great care to verify that the nonprofit does not file a tax return in a subsequent year. We demonstrate the importance of this verification step for calculating accurate exit.

As 501(c)3 status is supposed to be revoked when a nonprofit fails to file a 990 for three consecutive years, a common algorithm employed in such research is to identify a nonprofit as exiting if the nonprofit has failed to file a tax return for 3 years. Such an approach severely over-inflates the number of actual exits from the nonprofit sector. Table 3 lists the percentage of organizations that do not file in that year, but we observe file in subsequent years. We also show the percentage of nonprofits that fail to file for more than 3 years but *do* file a 990 later. For any given year, we find between 18% and 45% of organizations exist but skip at least a year of filing. Moreover, between 4.26% and 7.68% nonprofits do not file for at least 3 years but file later.

In addition to the creation of the 990-N, the Pension Protection Act gave the IRS a mandate to revoke tax-exempt status from organizations who do not file a 990 in three consecutive filing years (Joint Committee on Taxation 2006). As a result, one might assume that the non-filing issue has been eliminated since 2010, 3 years after the new revocation rule went into effect. However, as described in the previous paragraph, we find that while the rates of non-filing or backfiling have decreased since 2010, they are still substantial.

Therefore, conditional on not filing in 1 year, this subset of nonprofits is likely to not file for several consecutive years.[15] Related to the right-censoring bias, as we get closer to 2018, our ability to identify whether a non-filer will ever refile diminishes. Additionally, the percentages we calculate are if a nonprofit fails to file in a specific year and does not represent the cumulative or compounding nature of the issue. We find that 78.23% of all nonprofits fail to file for at least 1 year across our entire sample and 35.35% fail to file for at least one interval of 3 years or longer.

We account for this potential noncompliance issue in two ways. First, if we observe a nonprofit file, regardless of how many years since the last filing, we assume the organization was operational in some capacity for the intervening years.[16] Second, we do not report entry and exit rates for at least the last 3 years of our observed data, recognizing that measurement error will be substantially higher in those years. In summary, we define exit if we satisfy three conditions: (i) we observe a last filing; (ii) they never return to a filing status; (iii) we observe at least 3 years without filing. If an organization's filing patterns match the above criteria, they are flagged as exiting the sector in their final year of filing.[17] Even with these corrections, given the number of firms that have filing gaps of more than 3 years, we still observe a right-censoring bias. We examine this in the next section after briefly discussing our methodology for sector growth.

TABLE 3 | Percentages of non-filers filing earlier and later in data.

	Rates through 2014, with 990-N			Rates through 2014, with 990-N	
Year	**%Non-filers**	**%3+ years**	**Year**	**%Non-filers**	**%3+ years**
1990	44.70%	—	2003	37.57%	5.73%
1991	41.26%	—	2004	36.49%	5.77%
1992	43.06%	4.38%	2005	36.23%	5.97%
1993	43.30%	4.34%	2006	35.86%	5.95%
1994	43.27%	4.51%	2007	30.57%	6.57%
1995	40.93%	4.77%	2008	33.38%	6.52%
1996	41.39%	5.06%	2009	29.32%	6.74%
1997	45.45%	5.20%	2010	33.07%	6.65%
1998	40.63%	5.23%	2011	26.00%	8.06%
1999	34.06%	4.38%	2012	27.03%	7.09%
2000	29.64%	4.15%	2013	24.80%	6.90%
2001	36.94%	5.01%	2014	18.42%	5.36%
2002	34.27%	4.61%			

4.1.3 | Defining Sector Growth

Our methodology for sector growth is calculated by taking the difference in the number of nonprofits between time t and $t-1$ and dividing it by the total number of nonprofits from time $t-1$. We change the nomenclature to "growth" rather than HL's "net entry" measure, to better reflect what we are capturing.

4.2 | Initial Entry and Exit Rates

Based on these decision rules, Table 4 and Figure 2 present entry and exit rates for all nonprofit sectors.[18] Panel (A) of the table is a reproduction of the rates shown in HL. To highlight the importance of taking seriously the right-censoring bias discussed above, Panel (B) of the table and Figure 2a present our entry and exit rates using all our observed years of tax return filings, excluding the 990-N filers.[19]

Extending the results with additional data makes clear the extent of the issue related to right-censoring of the data. We first focus on comparisons between 1990 and 1999. Entry rates stay essentially the same but exit rates decline for every year between 1990 and 1999 with larger declines once we reach the end of the HL sample. These declines in the exit rates are not trivial—using 1999 as an example, updating with our newer data, gross exit rates decline from 2.76% to 1.27%, which represents a 54% drop in the exit rate.

Turning to the most recent years, gross entry rates range between 5% and 6%–in line with what HL found in prior years. We do observe a noticeable decline around 2004, with gross entry rates closer to 4%–4.5%. The gross exit rates conversely increased during this period, hovering closer to around 2% up to 2008 and then again increasing to 3%–4% after 2008. The combination of lower entry and higher exit translates into considerably lower growth, with even some years of negative growth.

If one only used the 990 and 990-EZ filings, one might assume that entry and exit trends have changed since 2008. However, these rates do not consider the introduction of the 990-N. We discuss below how this impacts conclusions.[20]

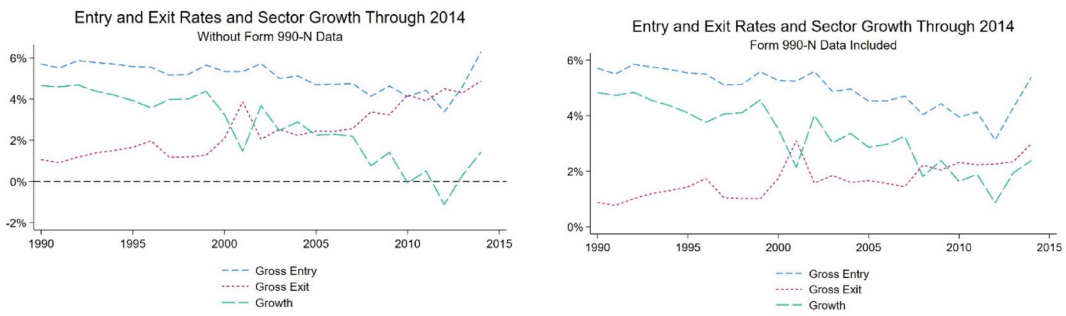
4.3 | Entry and Exit With the Form 990-N

The extended entry and exit rates including 990-N filers are listed in Panel (C) of Table 4 and Figure 2b. When we include 990-N filers into our data, our entry and exit rates decrease in every year of the sample compared to our rates without 990-N filers. This is because we observe some nonprofits filing as early as 1990 that later file a 990-N. When we do not include 990-N filers, these nonprofits appear to be exiting the sector. Once we have confirmed that these nonprofits file a 990-N, this increases the incumbent count of nonprofits (the denominator) for both entry and exit rates. Confirming the 990-N filing also decreases the count of exiting organizations (the numerator for exit rates). We talk about the further impacts to nonprofit entry and nonprofit exit below.

Nonprofit entry rate estimates remain relatively close to the rates without 990-N data, nearly matching rates through the early 1990s. The error discussed above in "finding" nonprofits that file the 990-N data compounds over time, resulting in gaps between the rates widening from 1990 through 2006. After the Pension Protection Act, an additional variation is introduced: some smaller organizations file a 990-N prior to filing a 990-EZ or 990, resulting in these organizations entering in an earlier time. The combined effects demonstrate how important the 990-N data is for accurate entry rate estimation, especially for years after its creation.

TABLE 4 | Extended Entry and Exit Rates to 2014.

	(A)			(B)			(C)		
	H&L (2008) rates through 1999			Rates through 2014, no 990-N			Rates through 2014, with 990-N		
Year	Gross entry	Gross exit	%Growth	Gross entry	Gross exit	%Growth	Gross entry	Gross exit	%Growth
1990	5.70%	1.28%	4.43%	5.70%	1.05%	4.65%	5.70%	0.88%	4.83%
1991	5.54%	1.31%	4.24%	5.51%	0.91%	4.60%	5.50%	0.77%	4.73%
1992	5.96%	1.34%	4.62%	5.86%	1.18%	4.69%	5.85%	1.01%	4.83%
1993	5.91%	1.63%	4.29%	5.77%	1.39%	4.38%	5.75%	1.20%	4.55%
1994	5.79%	1.82%	3.97%	5.69%	1.51%	4.19%	5.66%	1.30%	4.36%
1995	5.84%	2.01%	3.83%	5.58%	1.65%	3.92%	5.53%	1.44%	4.10%
1996	5.49%	2.74%	2.76%	5.54%	1.97%	3.57%	5.49%	1.74%	3.76%
1997	5.08%	2.54%	2.54%	5.16%	1.18%	3.98%	5.10%	1.04%	4.06%
1998	5.06%	2.96%	2.11%	5.18%	1.18%	4.00%	5.12%	1.02%	4.56%
1999	5.59%	2.76%	2.83%	5.65%	1.27%	4.37%	5.58%	1.01%	3.52%
2000				5.34%	2.08%	3.26%	5.26%	1.74%	3.52%
2001				5.33%	3.87%	1.46%	5.24%	3.10%	2.14%
2002				5.72%	2.05%	3.68%	5.59%	1.58%	4.01%
2003				5.00%	2.53%	2.47%	4.87%	1.85%	3.02%
2004				5.12%	2.23%	2.89%	4.96%	1.60%	3.36%
2005				4.69%	2.44%	2.25%	4.52%	1.66%	2.86%
2006				4.72%	2.43%	2.29%	4.53%	1.56%	2.97%
2007				4.75%	2.57%	2.18%	4.70%	1.45%	3.26%
2008				4.14%	3.38%	0.76%	4.03%	2.22%	1.81%
2009				4.64%	3.23%	1.41%	4.43%	2.04%	2.39%
2010				4.12%	4.20%	−0.08%	3.95%	2.32%	1.64%
2011				4.42%	3.92%	0.51%	4.12%	2.23%	1.89%
2012				3.38%	4.50%	−1.12%	3.12%	2.26%	0.87%
2013				4.61%	4.31%	0.31%	4.28%	2.34%	1.94%
2014				6.29%	4.87%	1.42%	5.37%	2.99%	2.38%



(a) Excluding Form 990-N Data (b) Including Form 990-N Data

FIGURE 2 | Entry and exit rates with and without form 990-N data.

Conversely, nonprofit exit rates have immediate, noticeable changes with sharp decreases. Observed exit rates including 990-N filers are lower in every year and decrease by a larger magnitude over time. Exit rates are between 2.0% and 2.5% near the time of the Great Recession, in line with average rates found in HL from 1990 to 99. We also note that as clearly documented, there will naturally be an increase in the exit rates due to the right-censoring bias, particularly as we get closer to the end of our sample. Our comparisons between the HL and our updated rates in the first and second columns put some bound on that bias. If we assume that the 1.5% point decrease we observe in 1999 is the maximum upward bias due to the right-censoring, then the 2014 reported exit rates could be as low as 1.49%. Given our findings in Table 3 that the 3+ year non-filing issue is still substantial, this upper bound on the bias is a reasonable approximation.

Combined, the larger decrease in exit rates relative to entry rates results in growth that is positive for every year of the data. Put another way, more nonprofits were created than exited in every year from 1990 to 2014. This analysis again reemphasizes the importance of correcting for the right-censoring bias and demonstrates the importance of accounting for the 990-N filers.

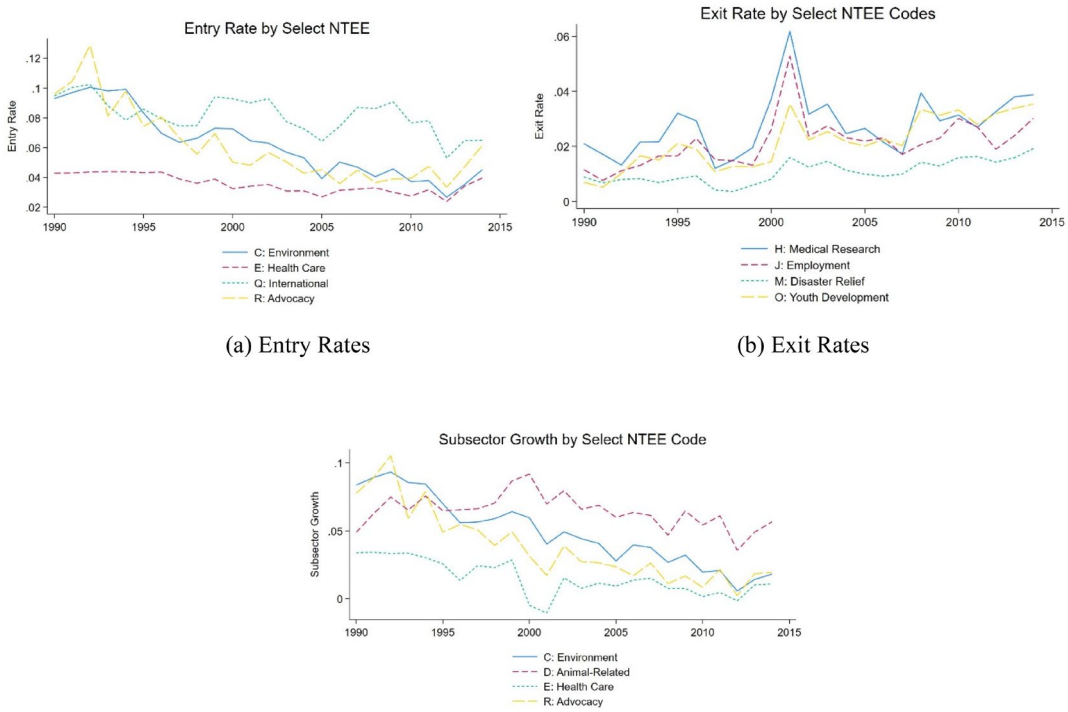
4.4 | Entry and Exit Rate by NTEE Code

It is possible the stability of rates in entry and exit resulting in permanent growth in the nonprofit sector results from aggregation across all nonprofit sectors. For example, one could imagine one sector having large entry while another has smaller entry and thus negatively correlated and canceling each other out in the total nonprofit rates.

To explore the dynamics of nonprofit entry, exit, and growth by subsector, we estimate the entry and exit rates of the 22 NTEE codes included in our data. For ease of exposition, we do not present all 22 sectors here. Instead, we select four NTEE codes for each metric (i) the sector with the highest average rate, (ii) the sector with the lowest average rate; and (iii) the two sectors with highest degree of variation in their rates. The estimated rates are plotted in Figure 3.[21]

Beginning with entry rates for select NTEE codes in Figure 3a, we observe 1 year (1992) where the magnitude of difference between the largest and smallest entry rate is as large as 8% points, with the mean difference over the sample being around 5% points.[22] We also note the declining entry rates for the advocacy and environmental sectors, in line with the documented early growth in these sectors in the early 1990s. However, despite these differences in nominal rates, we note the entry rates are generally in line with the overall entry ranges of 4%–6% noted in Table 4. The international sector is the only exception with an entry rate averaging closer to 8% throughout our sample.[23]

Turning to exit rates for the selected NTEE codes in Figure 3b, we see smaller nominal differences between the sectors. The only exception is in 2001, the highest gross exiting sector (H) has an exit rate around 5% points higher than the lowest gross exiting sector (M). However, nonprofits clearly follow an extremely similar trend over the course of the sample, averaging rates between 2% and 3%. These patterns also match the trend of exits in the sector overall in Figure 2b.



(a) Entry Rates

(b) Exit Rates

(c) Growth

FIGURE 3 | Select NTEE entry and exit rates and subsector growth. Entry rates: Highest Gross Entry – Q; Lowest Gross Entry – E; Most volatile – C, R; Exit Rats: Highest Gross Exit – H; Lowest Gross Exit – M; Most Volatile – J, O; Growth: Most Growth – D; Least Growth – E; Most Volatile – C, R.

Finally, combining entry and exit to arrive at growth in Figure 3c, we see the continuation of the patterns established for the aggregated sector. Most subsectors have grown in every year. The health sector is the notable exception with the subsector shrinking in 2000, 2001, and 2012 respectively.[24] Combined, these results demonstrate that despite the sectoral composition difference in the nonprofit sector, the overall sector dynamics follow similar trends over the period and confirm predominantly positive growth and low exit rates.

5 | Discussion, Best Practices, and Directions for Future Research

We find that nonprofit entry and exit rates remain largely stable over time, even through economic recessions and large IRS tax policy changes. Our analysis indicates that consistently and remarkably low exit rates majorly contribute to growth in the sector. While we find some variation in these metrics across nonprofit sectors, the pattern of low exit rates and positive growth holds. We not only document these trends in nonprofit exit and growth, but also provide guidance for future researchers and managers focused on the size, entry, exit, or growth in the nonprofit sector. We provide the first, clear documentation of the upward bias in exits if researchers fail to account for the fact that nonprofits often miss a tax filing. This non-filing issue has continued, even since the 2010 increased enforcement of 990 filing, and can explain up to 30% of nonprofits disappearing from the tax data in any given year. To highlight the importance of the issue and the resulting misconceptions that can occur if we fail to consider the non-filers, we plot in Figure 4 nonprofit sector size since 1990 with and without addressing the non-filing issue. The trend of increases in the number of nonprofits is broadly consistent between the two lines but we note two points: (i) the number of nonprofits where we take filings at face value (we call this the missing filings trend, identified by the solid line) shows approximately 100,000 fewer nonprofits and is also much more volatile than when we address the missing filings (identified by the dashed line); (ii) the growth trend is lower by 702 nonprofits per year in the missing filings trend than the filled filings trend.[25]

5.1 | Implications and Suggestions for Researchers

Our findings and construction of the entry, exit, and growth metrics provide guidance to researchers investigating questions that involve identifying new nonprofits or, in the reverse, nonprofits closing, or subsequently measuring the growth in the nonprofit sector. In doing so, we provide a set of careful and consistent methodology noted as necessary in Hernandez Ortiz and Hager (2023)'s documenting the difficulties of utilizing empirical data to estimate these metrics. We summarize these best practices in Table 5.

First, researchers without an annual panel should exercise extreme caution in drawing conclusions about entry and exit patterns. As demonstrated in Figure 4, cross-sectional data, or a panel with intervals longer than 1 year can provide misleading conclusions. A nonprofit observed at time t but not observed at time $t+5$ should not be assumed to have exited. Furthermore, if we had used the number of nonprofits in 2000 without accounting for non-filing, we would have assumed that the number of nonprofits had declined in the subsequent years and did not return to its 2000 level until roughly 2005. Second, even with an annual panel, researchers should take seriously the non-filing issue and nonprofits switching between filing 990-N and a full 990. The data should include 990-N filers or researchers should limit their sample to larger organizations, as we find that smaller nonprofits often switch filing between a 990-N and filing a 990 or 990-EZ.

Researchers should also ensure that they verify a nonprofit does not file in subsequent years, even if they have failed to file for more than 3 years and should omit analysis of at least the last 3 years of their sample. Due to right-censoring bias introduced through non-filing and backfiling, even with increased IRS revocation policies, a researcher is almost certainly overstating exit and also entry in these final 3 years of a panel dataset, as we demonstrate by recalculating HLs prior rates finding estimates as much as 54% lower than the HL reported rates. For example, we have data up to 2018 but only report rates up to 2014. The reemergence of nonprofits

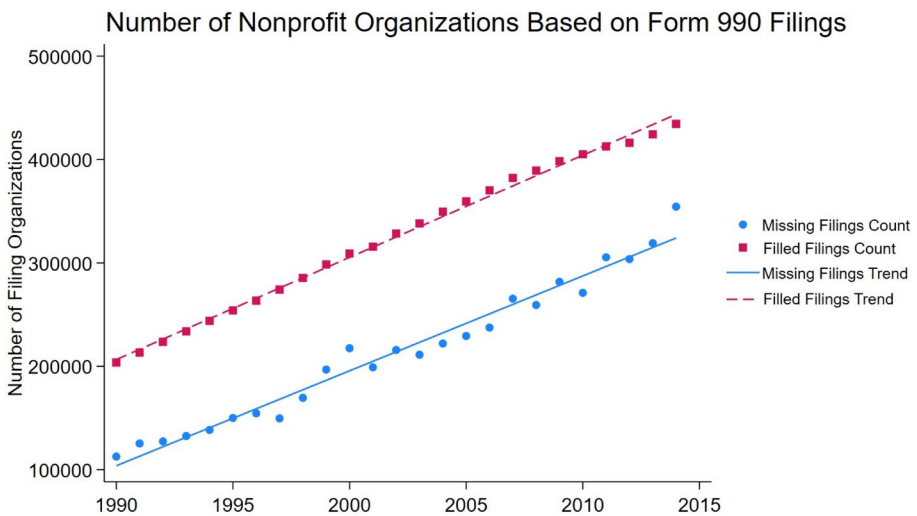


FIGURE 4 | Sector size based on form 990 filings with and without filling in missing filings.

TABLE 5 | Nonprofit entry, exit, and growth measurement best practices.

Research stage	Recommendations
Data	• Construct a panel of sufficient length of time and consecutive years to observe dynamics – Allows for more opportunity for to observe nonprofits filing • Note missing observations, but do not automatically treat as organizations exiting. – Nonprofits may file again outside of the traditionally accepted three-year window • Collect data from every Form 990 type, including 990-EZ and 990-N filers. • Verify that nonprofits do not return after extended periods of absence in filing
Estimation	• Omit the first year due to problems with determining entry • Omit at least the final 3 years of sample period due to gaps in filings • Estimating entry and exit using the sector size in the previous year to avoid entry and exit confounding factors
Discussion	• Acknowledge that right-censoring bias will upward bias the number of exiting organizations at the end of the sample • Acknowledge that exit does not necessarily imply failure. It may be needed for scale and healthy sector growth.

provokes several questions surrounding their organizational characteristics and operation practices, which we leave for future research.

Finally, acknowledging the inevitable increase in exits as one nears the end of the sample can be important for understanding the conclusions of the research. For example, if results are stronger toward the end of a sample, researchers must acknowledge that this could be due to trends in the actual data, or this could be due to the right-censoring bias.[26] The issues we discuss surrounding use of IRS data to examine US nonprofit entry, exit, density or growth also suggest a future line of research examining whether such issues are also pervasive at the state level.

Our results emphasize that the low exit rates need to be more broadly understood considering our research findings. Scholarly literature tends to focus on the entry side of the growth equation and not as much on the exit side (Lu, Shon, and Zhang 2020). In addition, much of the literature studying nonprofit exits/dissolutions focuses on the financial factors related to dissolutions. This is clearly an important consideration, but we would argue for a step back to notice how uncommon exit is. Lu, Shon, and Zhang (2020) find that 3.5% of nonprofits dissolve over their sample, putting the exit rate in their sample at less than 0.005% of nonprofits leaving in any given year. This line of research highlighting the financial factors is rooted in the IO literature of identifying traits of "the most fit" nonprofits. Both the IO and organizational ecology literature highlight that the health of a sector is linked to organizations that are not as strong leaving the industry. While we are not actively cheering for more organizations to leave the industry, our work does show that the concerns about increased competition and a lack of resources for existing nonprofits should consider more seriously whether all nonprofits should indeed continue in their current format.

We highlight that this suggested new lens on growth is given in the context of recognizing that exit or dissolution does not automatically imply failure. Organizations may need scale or more formalization to best achieve their mission (Lecy and Searing 2015; Andersson and Ford 2017). There is a large literature on the benefits of nonprofit collaboration (see Seo, Bryson, and Crosby (2023) and Woznyj, Stewart, and Beck (2024) as recent examples), yet we observe little tie between this literature and the entry/exit/growth literature. Returning to our sample of recent research articles from Table 1, we identify 11 articles that focus on coordination or collaboration, yet none of those same articles were identified as related to the entry, exit, density, or growth literature. Future research examining the link between collaboration and nonprofit exits may be fruitful in providing better linkages between these lines of literature.

5.2 | Implications for Managers and Practitioners

We note a similar bias in the managerial world emphasizing entry rather than lack of exit as the primary source of growth and an increased competitive environment. Organizations such as the National Council for Nonprofits have expressed concern that the number of nonprofits in the sector has already grown to a size that is unsustainable (Bertagnoli 2017). The notion of "Too Many Nonprofits" has abounded in practitioner and funding circles for 20 years (Ni 2004). Yet, when we examine such statements and rationale, we see phrases like "no barriers to entry" (Ni 2004) highlighting a common belief that the issue is on the entry side, we should not be letting as many nonprofits enter the industry. An IO perspective would proceed with extreme caution with such arguments as formation is often a large source of innovation and new productivity in an industry, including the nonprofit sector (Sutton 1991). Instead, IO theory would indicate that the nonprofit sector is likely to have less than optimal exit due to the lack of a profit motive and redistribution constraints facing the sector. The asset redistribution constraint upon demise presents a policy barrier to exit that warrants further exploration in future research. Additionally, our results motivate the need for future research investigating how specific operational cost variables interact with nonprofit exit rates.

One difference in practitioner circles is increased calls for collaboration and consolidation (LaPiana and MacIntosh 2020; George and Stinebricker-Kauffman 2021). Yet, there is

recognition both in scholarly and practitioner articles that formal collaboration can be difficult (Harrison and Renée 2018; Health 2009). Researchers can make contributions to management practice by facilitating better knowledge of what makes formal collaboration/consolidation a successful exit strategy. While our results indicate a sector-wide issue, the solution rests with nonprofit executives considering whether increased competition and sector growth primarily stems from new nonprofits or existing nonprofits. This contributes potential insights in long-term strategic planning. Additionally, managers, funders, and researchers can continue to normalize what is commonly understood on the for-profit side: a dissolution of an organization does not necessarily imply a "failure" or the "demise" of the program or mission. It can be an opportunity for transformation to perform the mission better and ultimately provide what scholars and practitioners are all seeking—a strong, healthy nonprofit sector.

Conflicts of Interest

The authors declare no conflicts of interest.

Data Availability Statement

The data that support the findings of this study are available in the National Center for Charitable Statistics and the Open Data for Nonprofit Research Collective. These data were derived from the following resources available in the public domain: National Center for Charitable Statistics, https://nccs-data.urban.org/data-dictionaries.php, Open Data for Nonprofit Research Collective, https://github.com/Nonprofit-Open-Data-Collective/irs990efile.

Endnotes

[1] Many analogous terms for exit or dissolution have been used including demise and failure. We prefer the terms exit or dissolution. Demise and failure imply a negative connotation, and we note that an exit in most studies, including our own, can occur because of accomplishing program/mission or consolidation which does not necessarily imply a failure of the organization.

[2] We note that other administrative data (e.g., Census type), while less used, also is not a reliable source for our purposes due to the lack of clear reporting of the nonprofit ownership status in most datasets.

[3] Our intention in this section is to highlight broad trends in the literature and some of the most prominent studies but it is not meant to be a meta or systematic literature review. As such, we acknowledge we may have missed some of the work that uses size of the nonprofit sector as a prominent metric.

[4] Other factors resulting in nonprofit exit include mergers, acquisitions, conversions, and departures from the sector, which were not considered to be closures by Duckles, Hager, and Galaskiewicz (2005).

[5] We discuss the common practitioner discussions of "free market of entry" and "barriers to entry" in Section 5.

[6] Recent is defined here as NVSQ articles beginning with Volume 50 Issue 1 in 2021 through Volume 52 Issue 4 in 2023 and NML Volume 31 Issue 1 in 2020 through Volume 33 Issue 4 in 2023. This review is not intended to be a systematic review of the literature, but rather is used as an indication of the prominence of these topics within two leading nonprofit journals.

[7] For a complete discussion of this theoretical model, we refer the reader to HL.

[8] Additional details of the 990 filing requirement changes from the 2000s can be found in Supplemental Appendix A.

[9] We do this because the organization could have existed prior to the 990-N filing requirement yet never appeared in our dataset because their gross receipts fell below the $25 K threshold. Further restricting our ability to track small organizations over time, the 990-N does not report the year of formation like the 990 and 990-EZ's Rule Date. As such, to keep a consistent methodology of estimating nonprofit entry, exit, and sector growth, we only include 990-N filers we also observe as filing in the NCCS core data. The matching with organizations already observed in the core explain why the number of nonprofit filing observations increased while the number of filing organizations did not.

[10] Our data spans from 1989 to 2018. By construction, we cannot calculate entry rates in 1989, nor exit rates in 2018. We recommend dropping at least 3 years at the end of the data for exit rate calculation, matching the IRS's revocation rule. Here, we drop 2015, 2016, 2017, and 2018 to account for backfiling and nonfilers in nonprofit exit rates. We discuss this in the manuscript, specifically highlighting the need to drop at least 3 years at the end of the series in Table 5.

[11] It is not uncommon for the assigned NTEE code to vary across years. Some of these are differences in interpretation of missions or changes in organizational subsector. Using Italian census data, Barbetta et al. (2018) show that nearly 9% of organizations changed sectors between 2011 and 2018. However, the reported differences can often occur due to clerical error. We assign each nonprofit to the most common industry code reported across all years the nonprofit filed a 990. Doing so ensures that we are not counting operational organizations as exiting when we generate subsector rates. We refer the interested reader to HL for additional discussion on the pros/cons of such an algorithm. As a robustness check, we drop all nonprofit organizations who switch their NTEE code and report these sector and subsector rates in the Supplemental Appendix B. Doing so does not substantially alter our results.

[12] Sector T charities share similar roles to private foundations which are not included in the NCCS core files. Sector X charities are not required to file Form 990 s annually. Sector Y charities largely represent retirement funds which have different operations characteristics such as asset size compared to the other nonprofit organizations in our sample. Finally, sector Z is less a sector but rather exists for organizations who have never been classified. For a detailed discussion on these sectors, please see HL's discussion of data cleaning procedures.

[13] We adopt the same process for any discrepancies in sector.

[14] Since 2008, nonprofits are required to identify if they are liquidating or transferring more than 25% of their assets and file a Schedule N accordingly. Unfortunately, there is not sufficient information to identify a merger or dissolution.

[15] We observe an increase in the 3+ year non-filing percentages for the following reason: Small nonprofits below the legal threshold required to file a Form 990 ($25,000) appear to be more likely to file in 1 year and then skip filings.

[16] We recognize that some non-filers may be dormant or "zombies" (Searing 2020). Due to the lack of information provided on the 990-N, we cannot fully distinguish functioning smaller nonprofit organizations from non-functioning "zombies" as identified in Searing (2020). However, our analysis does not indicate that inactive or dormant nonprofits are the dominant type of firm exiting the industry. There are only 3 years, 2011, 2012, and 2013, where exiting organizations qualifying for 990-N status are most nonprofit exits. This indicates that most organizations exiting in all other years come from organizations generating over $50,000 in gross receipts, indicating an active organization. The issues surrounding decisions by zombie nonprofits to exit versus continuing to file is beyond the scope for this paper.

[17] We also note that a researcher who identified nonprofit exits at three-years after the last filing would shift the count of nonprofit exit by 3 years. While this would slightly impact total # of exits for every year counted on record (e.g., moving the current exit count in 2001 to 2003), nonprofit exit rates would decrease as we observe the total sector size increasing in nearly every year of our data.

[18] For these calculations we treat sector k as all nonprofits. One could instead calculate entry and exit rates by sector and then average across the sector. Results are robust between these two methods.

[19] Unlike HL, our data do not include the private foundation data as these data are not available as they were for the years studied by HL. In results not shown but available upon request, we show that when we exclude the private foundation (PF) data from the HL dataset, we are able to reproduce HL's rates exactly.

[20] 990-N reporting is discussed in Section 3 and further details of policy changes in this timeframe are discussed in Supplemental Appendix A.

[21] We include 990-N filers throughout this analysis.

[22] See Table C1 in the Supplemental Appendix.

[23] We note that while the entry rate in sector Q is higher, the exit rate is consistent with the overall trends of averaging around 2%. See Table C1 in the Appendix for average entry/exit by sector.

[24] For all sectors (including those not shown in the figures), there are only nine instances out of 550 of negative net entry. These include health in 2000, 2001, and 2012; employment in 2001 and 2010; medical research in 2001 and 2012; mental health and crisis intervention in 2010; and science and technology in 2012.

[25] We test this directly with regression analysis. The filled filings trend, averaging 9882 new nonprofits per year, is 702 organizations per year greater than the missing filings trend, averaging 9180 new nonprofits per year. A Wald test rejects the null hypothesis of equivalent coefficients at an estimated p-value of 0.0656.

[26] A skeptical reader may look at the missing filings plot of Figure 4 and question our concern with increases in organization count at the end of solid (unfilled) series. The number of nonprofits in this trend is overstated, and the overstatement is driven by two factors: the structure of available 990-N data and the right-censoring bias both already discussed in paper.

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Supporting Information

Additional supporting information can be found online in the Supporting Information section.